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China Logistics, Express Parcel and Ecommerce

Incremental quality-led recovery in motion, with YMM and J&T now leading the sector's next phase; 2Q26 preview

June sector data and the 1M price action point to a constructive but still evolving backdrop for China logistics. The entire group outperformed HSI and HXC in June, marking a rare month of broad-based positive returns, but this comes after a period of pronounced YTD dispersion—several names remain below water for the year. The improvement was underpinned by sector revenue growth of 7.7% Y/Y (vs. volume +3.8% Y/Y), ongoing ASP recovery (Rmb7.77, +3.8% Y/Y), and robust profit alerts from the A-share Tongda players, with 2Q26 implied net profit growth for YTO, STO, and Yunda accelerating to 92%, 152%, and 136% Y/Y, respectively. Anti-involution efforts continue to support rational pricing and margin repair, while technology upgrades and business mix optimization are driving further differentiation. Against this backdrop, we maintain a broadly positive outlook for 2H26, but the pecking order for the next 3–6 months has reshuffled: YMM and J&T now lead our top picks, followed by ZTO, JD Logistics, and SF (all OW).

- **June data and sector trends confirm incremental quality-led recovery, with scale leaders extending their advantage and sector profitability inflecting.** The sector is moving further away from “volume at any cost” and toward sustainable, margin-driven growth. STO and YTO continued to gain share, while Yunda prioritized margin over volume. Ecommerce trends were mixed, with online physical goods GMV accelerating for a second month, but category divergence and soft daily-use products suggest the recovery is not yet broad-based. The sector's broad-based June rally was underpinned by improving confidence in pricing power, monetization, and a more stable competitive landscape.
- **Tongda profit alerts and 2Q26 earnings previews point to accelerating margin recovery, with sector leaders poised for robust profit growth and business mix driving divergence.** YTO, STO and Yunda all posted strong 1H26 profit alerts, with implied 2Q26 net profit growth sharply accelerating—YTO up 92% Y/Y, STO up 152% Y/Y, and Yunda up 136% Y/Y—driven by continued anti-involution, pricing discipline, and technology upgrades. For 2Q26, ZTO is set to deliver another quarter of outperformance, JDL is on track for strong revenue and operating profit, J&T is poised for record volume and >50% Y/Y profit growth, and SF's quality focus is supporting ASP even as earnings remain muted on a high base. YMM's order growth remains solid, with commission income a bright spot despite headline revenue pressure from business restructuring. The sector's margin repair is gaining traction, and disciplined execution on cost and pricing is translating into tangible profit gains as the industry moves further away from destructive competition.
- **Raising PT for YMM, lowering PT for JDL; YMM and J&T move to the top of our pecking order.** YMM has shown visible progress in business

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restructuring, with transaction commission revenue poised for c.33% Y/Y growth in 2Q26 and fulfilled orders up 11–14% Y/Y. We lift our PT for YMM to reflect improved peer comp. J&T, recently initiated at OW, stands out for its scalable, platform-neutral model, accelerating New Markets, and a visible margin inflection, with group-level parcel volume up 24% Y/Y in 2Q26 and non-IFRS net profit set to grow >50% Y/Y. We also reduce our PT and estimates for JDL to reflect the latest operational trends but maintain OW.

Equity Ratings and Price Targets

Company	Ticker	Mkt Cap (\$ mn)	Price CCY	Price	Rating		Price Target			
					Cur	Prev	Cur	End Date	Prev	End Date
JD Logistics	2618 HK	11,820	HKD	13.88	OW	n/c	17.00	Jun-27	20.00	n/c
Full Truck Alliance	YMM US	9,668	USD	9.25	OW	n/c	11.00	Jun-27	10.00	n/c

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 21 Jul 26 except for YMM US [20 Jul 26].

2Q26 earnings preview – Sector leaders poised for robust profit growth, while business mix and one-offs drive divergence across names

- ZTO is set to deliver another quarter of outperformance, with volume and profit growth outpacing the industry on the back of market share gains and strength in reverse logistics.** We expect ZTO's 2Q26 parcel volume to grow faster than the industry's 4% Y/Y pace, as ZTO continues to consolidate share and leverage its leadership in reverse logistics. Operating profit is poised to rise 30–40% Y/Y, with non-GAAP net profit likely to post double-digit Y/Y growth, supported by strong underlying execution and a low base from last year. This setup reinforces ZTO's position as the sector's most consistent compounder, with both scale and margin momentum working in its favor.
- JD Logistics is on track for another strong quarter, with robust revenue growth and internal ISC business driving operating profit, though non-IFRS net profit may be held back by one-offs.** We expect JDL's 2Q26 revenue to rise 20–25% Y/Y to Rmb62–64B, reflecting continued strength in core logistics and better-than-expected performance from its internal ISC business. Operating profit is set to grow at a double-digit Y/Y rate, but non-IFRS net profit is likely to be flattish Y/Y, as positive operating trends are offset by one-off items including interest income, government subsidies, and FX loss. This quarter should further cement JDL's reputation for top-line resilience, even as bottom-line growth is temporarily capped by non-operational factors.
- J&T is poised to set a new operational milestone, with record parcel volume and strong profit growth supporting upside to full-year guidance.** J&T's 2Q26 group-level parcel volume surged 24% Y/Y to 9.18B, with daily volume exceeding 100MM for the first time—a clear sign of accelerating scale. We expect J&T's non-IFRS net profit to grow more than 50% Y/Y, and see room for upside to the company's full-year guidance of US\$700MM. This performance highlights J&T's ability to capture incremental demand and drive operating leverage as the network matures.
- SF's 2Q26 results reflect the company's ongoing business realignment, with quality focus supporting ASP but earnings likely to remain muted on a high base.** SF's monthly operational data show 2Q26 express delivery revenue up 1% Y/Y to Rmb57.85B, while parcel volume declined 4% Y/Y to 4.1B, as the company prioritized margin over volume. SF's parcel ASP recovered to Rmb14.1, up 5.1% Y/Y, underscoring the success of its quality-driven strategy. However, we expect SF's 2Q26 earnings to be muted, with net profit likely to decline by double digits Y/Y due to a high base last year and ongoing business mix adjustments.
- YMM's 2Q26 order growth remains solid, but headline revenue is set to decline as business restructuring weighs, while commission income stands**

out as a bright spot. We expect YMM's 2Q26 fulfilled orders to grow 11–14% Y/Y to 67.5–69.3MM, a robust pace supported by easing oil prices but partially offset by extreme weather in some regions. Headline revenue is likely to decline c.4% Y/Y to Rmb3.1B, reflecting the impact of business restructuring in freight brokerage and credit solutions. However, transaction commission revenue is poised to deliver c.33% Y/Y growth, highlighting the underlying strength of the platform model. For the bottom line, we expect YMM's 2Q non-GAAP net profit to remain flat at Rmb1.3B, as solid commission growth is offset by restructuring headwinds.

Tongda players' 2Q26 profit alerts highlight accelerating earnings momentum as anti-involution efforts drive sector-wide margin recovery

- **YTO, STO, and Yunda all posted robust 1H26 profit alerts, with 2Q26 net profit growth sharply accelerating and underscoring a sector-wide earnings inflection.** The latest profit alerts from the A-share Tongda players point to a strong earnings recovery, with all three companies reporting significant Y/Y growth for both 1H26 and 2Q26. At the midpoint, YTO expects 1H26 net profit of Rmb3.25B, up 78% Y/Y, with implied 2Q26 net profit of Rmb1.87B, up 92% Y/Y. STO forecasts 1H26 net profit of Rmb1.01B, up 122% Y/Y, with implied 2Q26 net profit of Rmb546MM, up 152% Y/Y. Yunda expects 1H26 net profit of Rmb978MM, up 85% Y/Y, with implied 2Q26 net profit of Rmb491MM, up 136% Y/Y. This acceleration in profit growth signals that the sector's margin repair is gaining traction, with the second quarter marking a clear step-up in earnings momentum for all three players.
- **The sector's improving profitability is anchored by continued anti-involution measures, which have restored pricing discipline and supported a more rational competitive environment.** All three companies attributed their strong profit growth to the ongoing implementation of anti-involution policies, which have helped stabilize the industry and drive a meaningful recovery in pricing. YTO cited a reasonable recovery in terminal prices and highlighted the positive impact of AI-led transformation across the logistics value chain, which has improved operating efficiency, reduced costs in trunk transportation, sorting, and last-mile fulfillment, and enhanced service quality and brand premium. STO pointed to rational industry price increases, strategic adjustments to its operating model, improved dual-network coordination, and ongoing digital transformation as key drivers of its margin expansion. Yunda emphasized steady repair in sector pricing, higher parcel revenue per ticket, and the deployment of AI and digital tools across the full parcel chain, which have supported lean management, operational efficiency, and service quality. The common thread across all three players is that disciplined execution on cost and pricing, supported by technology upgrades, is now translating into tangible profit gains as the sector moves further away from destructive price competition.

Table 1: YTO/STO/Yunda profit alert summary

(Rmb MM)	1H26 net profit				Implied 2Q26 net profit			
	High end	Low end	Mid point	Y/Y %	High end	Low end	Mid point	Y/Y %
YTO	3,400	3,100	3,250	78%	2,022	1,722	1,872	92%
STO	1,060	950	1,005	122%	601	491	546	152%
Yunda	1,050	905	978	85%	563	418	491	136%

Source: Company data

June express delivery data continued to show a constructive industry backdrop

- **June data reinforced the sector's quality-led growth, with revenue and ASP gains outpacing volume.** The June express delivery print highlighted a sector that is steadily moving away from "volume at any cost" and toward healthier, more sustainable growth. Industry parcel volume grew 3.8% Y/Y to 17.51B, with the 6.18 shopping festival providing a modest boost. More importantly, industry revenue rose 7.7% Y/Y to Rmb136B, outpacing volume and signaling improved monetization. Industry ASP climbed to Rmb7.77 (+3.8% Y/Y), marking another month of pricing recovery. This trend reflects the ongoing impact of anti-involution efforts and a more rational competitive environment, as companies focus on quality, margin, and pricing discipline rather than chasing low-value flows. The combination of steady volume and stronger revenue growth is a clear signal that the sector's fundamentals are on a firmer footing.
- **Competitive dynamics continued to favor scale leaders, with STO and YTO extending share gains while Yunda prioritized margin over volume.** June data showed that consolidation benefits and execution strength are increasingly concentrated among the largest players. STO delivered the fastest growth, with parcel volume up 19% Y/Y to 2.59B and market share expanding 1.8ppts Y/Y to 14.8%, underscoring the value of scale and network optimization. YTO also posted solid results, with volume up 9% Y/Y to 2.85B and market share up 0.7ppt Y/Y to 16.3%, reinforcing its competitive edge. In contrast, Yunda's volume was flat Y/Y at 2.17B, and its market share slipped 0.5ppt Y/Y to 12.4%, reflecting a deliberate strategy to focus on higher-quality, more profitable flows rather than chasing market share. ASPs for the three names were broadly similar (Yunda and STO at Rmb2.11, YTO at Rmb2.06), highlighting a more rational pricing environment and the importance of mix, scale, and execution in a stabilizing market.

June ecommerce data reflects online physical goods recovery

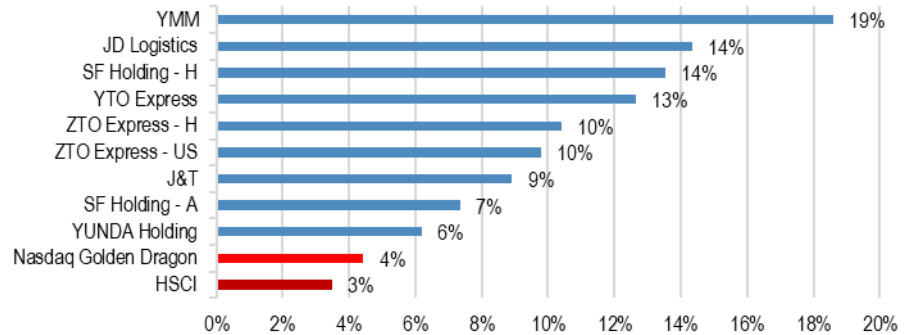
- **Online physical goods GMV accelerated for a second month, but overall retail and category trends remained mixed.** June saw headline retail sales growth turn positive at +1.0% Y/Y (vs -0.6% Y/Y in May), providing a modest lift to sentiment. Online physical goods GMV grew 3.9% Y/Y, marking the second consecutive month of acceleration and supporting parcel demand. However, total online GMV growth slowed to 2% Y/Y, dragged by weak service GMV (-1.5% Y/Y), which underscores that the recovery is not yet broad-based. The improvement in physical goods is encouraging for logistics, as it supports network utilization and shipment frequency, but the divergence between goods and services means the sector still needs to see a more comprehensive demand recovery before calling a full inflection.
- **Category trends showed narrowing home appliance drag and a sharp rebound in communication devices, while daily-use products stayed soft.** The decline in home appliance sales narrowed to -8.7% Y/Y in June, mainly due to an easier base (c.32% Y/Y growth in June-25 vs c.53% in May-25 on trade-in subsidy), rather than a true demand inflection. Communication devices surprised to the upside, with sales jumping +16.5% Y/Y, driven by higher ASPs as memory costs rose and demand was pulled forward ahead of expected 2H price hikes. This dynamic is likely to support JD's electronics sales as comps ease further into 2H.

Discretionary categories were mixed: food sales rose 16.8% Y/Y in 1H26 (c.23% Y/Y in June), apparel grew 6.2% Y/Y in 1H26 (LSD in June, cooling from May), and daily-use products remained roughly flat, continuing to be the soft spot within online goods. The overall takeaway is that while some categories are showing resilience, the sector still faces uneven demand and will need broader improvement to sustain momentum.

Share price performance review – YMM's turnaround in the last one month is most notable, with sector outperforming the index in the same month

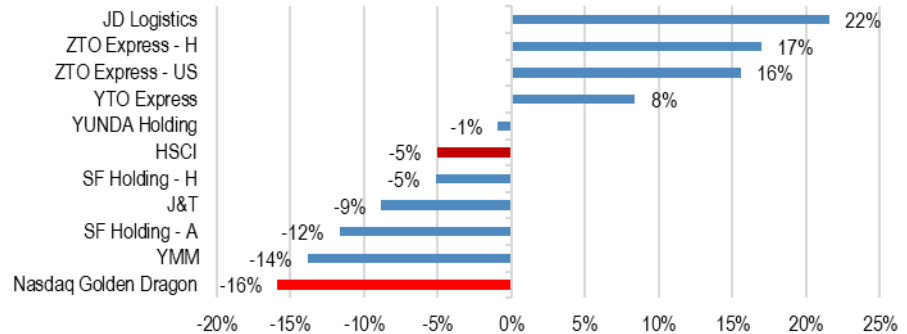
- **The past one month saw a broad-based rally, with every China logistics name outperforming HSI and HXC as sector sentiment improved.** June marked a clear shift in market tone, with all major China logistics stocks posting stronger returns than both HSI and HXC. This sector-wide outperformance stands out versus earlier months, when leadership was narrow and laggards struggled to keep up. The rally was not just about a single name or a technical bounce—investors responded to a more constructive industry backdrop, as June data showed revenue growth outpacing volume, ASP recovery holding up, and competition remaining rational. These trends reassured the market that pricing discipline is sticking and that the risk of another round of earnings downgrades has receded, making it easier for investors to add exposure across the group.
- **YMM delivered the sharpest rebound, moving from the worst YTD performer to the best in the past month, while ZTO and JD Logistics continued to anchor the quality trade.** YMM's strong rally (+19% in the past month) was the most notable, as the stock had been the biggest laggard YTD. This reversal reflects a classic mean reversion as investors saw less downside risk and became more comfortable with the company's risk-reward after a period of heavy de-rating and negative sentiment. At the same time, ZTO and JD Logistics remained solid, holding up well and reinforcing that the market still values scale, execution, and margin visibility. SF also bounced, helping to close the gap with the leaders and further supporting the view that the sector is moving into a more balanced and less punitive environment.
- **The sector's broad-based rally was driven by improving confidence in pricing power, monetization, and a more stable competitive landscape.** June's operating data provided the fundamental support for the rally: industry revenue growth outpaced volume, ASP continued to recover, and anti-involution efforts kept competition rational. These factors gave investors confidence that the sector is not slipping back into price wars and that margin delivery is more sustainable. As a result, the market was willing to re-rate not just the leaders but also the laggards, leading to a rare period where every major logistics name outperformed the benchmarks in tandem.

Figure 1: China logistics share price performance (past one month)



Source: Bloomberg Finance L.P. Note: Past performance is not an indicator of future results. Data as of 21 Jul 2026.

Figure 2: China logistics share price performance (year to date)



Source: Bloomberg Finance L.P. Note: Past performance is not an indicator of future results. Data as of 21 Jul 2026.

Table 2: Global logistics comparison table

BBG		JPM rating	Last Price	JPM PT	Upside/Downside	Mkt Cap	YTD	P/E (x)		EPS Grpwth		PEG	EV/EBITDA		ROE (%)		P/B (x)		Dividend yield (%)	
Ticker			LC	LC	Downside	US\$m	Stock perf.	FY26E	FY27E	FY26E	FY27E	FY27E	FY26E	FY27E	FY26E	FY27E	FY26E	FY27E	FY26E	FY27E
SF Holding - A	002352 CH	OW	33.87	42.00	24%	25,951	12%	14.4	13.0	22%	10%	1.3	6.2	5.7	11.5	11.4	1.5	1.4	2.9	3.1
SF Holding - H	6936 HK	OW	32.90	40.00	22%	25,951	5%	11.8	10.7	10%	10%	1.1	4.9	4.4	11.5	11.4	1.3	1.2	3.4	3.7
ZTO Express - US	ZTO US	OW	24.01	29.00	21%	18,481	15%	12.2	10.8	12%	13%	0.8	6.9	6.5	15.0	15.4	1.8	1.6	3.2	3.6
ZTO Express - H	2057 HK	OW	189.80	225.00	19%	18,635	17%	12.3	10.9	19%	13%	0.8	7.0	6.5	15.0	15.4	NA	NA	3.2	3.6
JD Logistics	2618 HK	OW	13.88	17.00	22%	11,819	22%	10.9	9.5	22%	15%	0.6	3.6	3.4	16.3	16.7	1.2	1.0	0.0	0.0
YTO Express	600233 CH	NC	17.80	NA	NA	9,001	8%	10.2	9.0	42%	13%	0.7	5.7	5.1	15.6	15.7	1.5	1.3	2.4	2.8
YUNDA Holding	002120 CH	NC	6.68	NA	NA	2,861	1%	9.7	8.6	45%	12%	0.7	4.0	3.6	8.9	9.3	0.9	0.8	4.6	5.0
STO Express	002468 CH	NC	14.03	NA	NA	3,173	5%	10.2	8.9	58%	14%	0.6	5.6	5.1	17.3	16.7	1.7	1.4	1.2	1.5
Sinotrans	601598 CH	NC	5.96	NA	NA	5,685	2%	12.8	12.0	-8%	7%	1.7	7.8	7.3	7.9	8.8	1.0	1.0	4.5	4.7
CST International	603128 CH	NC	5.29	NA	NA	1,023	13%	15.6	13.4	4%	16%	0.8	11.3	10.3	7.1	8.4	1.1	1.0	3.6	4.1
J&T	1519 HK	OW	9.53	13.00	36%	11,725	9%	16.6	11.2	106%	48%	0.2	7.6	6.1	16.3	18.5	2.3	1.9	0.0	0.0
YMM	YMM US	OW	9.10	11.00	21%	9,436	15%	12.3	10.6	20%	16%	0.7	8.8	7.7	11.8	12.2	1.4	1.2	2.4	2.8
Average							1%	12.4	10.7	29%	16%	0.8	6.6	6.0	12.9	13.3	1.4	1.3	2.6	2.9
Fedex	FDX US	OW	314.70	460.00	46%	74,452	35%	15.9	15.2	10%	4%	3.4	9.5	9.5	15.6	15.2	2.4	2.2	1.8	1.8
UPS	UPS US	N	116.14	118.00	2%	98,728	17%	16.3	14.6	3%	12%	1.2	9.8	9.1	36.8	41.2	6.1	5.7	5.6	5.7
DHL	DHL GR	OW	57.04	60.00	5%	74,832	22%	16.7	15.3	11%	9%	1.7	7.6	7.2	16.8	17.6	2.7	2.6	3.5	3.6
Kuehne + Nagel	KNIN SW	UW	209.80	175.00	17%	31,188	23%	23.3	27.0	20%	-14%	-2.0	11.5	12.1	47.3	38.2	10.6	10.0	3.4	3.0
Expeditors	EXPD US	UW	178.97	144.00	20%	23,408	20%	25.6	24.3	18%	6%	4.2	18.2	18.4	45.2	67.0	13.9	21.9	0.9	0.9
C.H. Robinson	CHRW US	OW	209.58	198.00	-6%	24,699	30%	33.3	26.5	25%	25%	1.0	24.0	19.9	41.0	54.0	13.7	15.5	1.2	1.3
SAIA	SAIA US	OW	431.95	490.00	13%	11,521	32%	37.4	28.2	26%	32%	0.9	17.2	14.1	12.6	15.7	4.8	4.1	NA	NA
Nippon Express	9147 JP	N	5.545	5.700	3%	8,267	35%	16.6	14.4	24%	15%	0.9	6.4	5.9	1.4	11.4	1.6	1.6	2.3	2.7
KLN	636 HK	NC	6.00	NA	NA	1,383	-15%	7.8	7.4	3%	5%	1.5	4.1	4.0	7.4	7.4	0.6	0.6	4.4	4.8
CJ Logistics	000120 KS	N	71.800	100.000	39%	1,107	24%	5.7	5.2	3%	10%	0.5	4.6	4.3	5.9	6.1	0.3	0.5	1.1	1.1
Average							20%	21.3	19.1	14%	11%	1.5	11.3	10.4	21.0	25.0	5.2	5.9	2.7	2.8

Note: Pricing as of Jul 21, 2026. Past performance is not an indicator of future results. J.P. Morgan estimates for covered stocks, Bloomberg consensus for Not Covered (NC) stocks.
Source: Bloomberg Finance L.P. and J.P. Morgan estimates.

Table 3: Internet comparison table

	BBG	JPM rating	Last Price	JPM PT	Upside/Downside	Mkt Cap	YTD	P/E (x)		EPS Grpwth		PEG	EV/EBITDA		ROE (%)		P/B (x)		Dividend yield (%)	
Ticker			LC	LC		US\$Mn	Stock perf.	FY26E	FY27E	FY26E	FY27E	FY27E	FY26E	FY27E	FY26E	FY27E	FY26E	FY27E	FY26E	FY27E
YMM	YMM US	OW	9.25	11.0	19%	9,597	-14%	12.5	10.7	20%	16%	0.7	9.0	7.9	11.8	12.2	1.4	1.3	2.4	2.8
DiDi	DIDIY US	N	3.54	4.0	13%	15,957	-33%	NA	16.4	NA	NA	NA	33.8	7.6	-0.7	6.6	1.1	1.0	NA	NA
Grab	GRAB US	OW	3.62	5.7	57%	14,844	-27%	36.2	24.1	150%	50%	0.5	14.8	9.6	6.5	9.3	2.3	2.2	NA	NA
Alibaba	BABA US	OW	120.34	205.0	70%	288,463	-16%	24.8	13.5	-44%	84%	0.2	13.3	9.2	7.3	11.1	1.7	1.4	NA	NA
JD.com	JD US	OW	30.60	38.0	24%	41,794	7%	8.5	6.8	34%	25%	0.3	10.5	6.1	10.6	12.2	1.8	1.6	3.4	3.6
PDD	PDD US	N	86.05	110.0	28%	122,483	-24%	7.4	6.3	0%	18%	0.4	3.6	2.9	24.2	22.6	1.6	1.3	NA	NA
Meituan	3690 HK	N	85.20	85.0	0%	67,092	-18%	NA	16.5	-9%	NA	NA	NA	8.1	-4.9	21.1	3.1	2.5	NA	NA
Tencent	700 HK	OW	474.00	690.0	46%	549,635	-21%	14.4	12.8	1%	12%	1.0	11.4	10.4	19.4	18.7	2.6	2.2	1.2	1.3
Kuaishou	1024 HK	OW	45.10	71.0	57%	24,970	-29%	10.6	9.5	-23%	12%	0.8	5.5	5.1	18.1	17.2	1.8	1.5	NA	NA
Trip.com	TCOM US	OW	44.19	75.0	70%	27,827	-39%	10.5	8.9	-38%	19%	0.5	6.7	5.6	10.6	11.4	1.0	0.9	1.1	1.1
NetEase	NTES US	OW	134.20	185.0	38%	85,637	-2%	13.6	12.1	8%	13%	0.9	8.6	7.6	25.5	25.4	3.3	2.9	3.1	3.5
Average							-20%	15.4	12.5	10%	28%	0.6	11.7	7.3	11.7	15.2	2.0	1.7	2.2	2.5

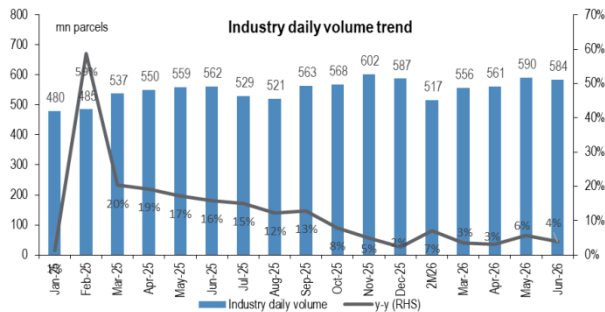
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Source: Bloomberg Finance L.P. and J.P. Morgan estimates.

Table 4: Snapshot of China's express parcel monthly data

	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	2M26	Mar-26	Apr-26	May-26	Jun-26
Industry													
China's parcel volume (Bn)	17.32	16.87	16.40	16.15	16.88	17.60	18.06	18.21	30.49	17.24	16.84	18.30	17.54
Daily volume (mn)	559	562	529	521	563	568	602	587	517	556	561	590	585
Y/Y	17.2%	15.8%	15.0%	12.3%	12.8%	7.9%	4.9%	2.3%	7.1%	3.5%	3.2%	5.7%	4.0%
Industry ASP (Rmb/parcel)													
Y/Y	-7.6%	-5.9%	-5.3%	-7.2%	-4.9%	-3.0%	-8.3%	-1.6%	0.8%	1.2%	3.0%	3.6%	1.4%
Company metrics													
Parcel volume (Bn)													
Yunda	2.30	2.17	2.16	2.15	2.11	2.14	2.18	2.15	3.57	2.14	2.08	2.29	2.17
YTO	2.76	2.63	2.58	2.51	2.63	2.79	2.89	2.88	4.80	2.84	2.73	3.06	2.85
STO	2.26	2.18	2.18	2.15	2.19	2.27	2.50	2.50	4.14	2.50	2.38	2.69	2.59
SF	1.48	1.46	1.38	1.41	1.50	1.52	1.53	1.48	2.46	1.25	1.30	1.42	1.39
Daily volume (mn)													
Yunda	74.3	72.4	69.7	69.2	70.3	68.9	72.5	69.3	60.5	69.1	69.5	73.9	72.4
YTO	89.2	87.6	83.3	81.0	87.6	90.0	96.2	93.0	81.4	91.7	90.9	98.6	95.1
STO	73.0	72.8	70.4	69.3	72.9	73.3	83.4	80.7	70.2	80.7	79.3	86.7	86.3
SF	47.6	48.7	44.4	45.4	50.1	49.2	51.1	47.6	41.7	40.4	43.2	45.6	46.3
Market share													
Yunda	13.3%	12.9%	13.2%	13.3%	12.5%	12.1%	12.0%	11.8%	11.7%	12.4%	12.4%	12.5%	12.4%
YTO	16.0%	15.6%	15.8%	15.5%	15.6%	15.9%	16.0%	15.8%	15.7%	16.5%	16.2%	16.7%	16.3%
STO	13.1%	12.9%	13.3%	13.3%	13.0%	12.9%	13.9%	13.7%	13.6%	14.5%	14.1%	14.7%	14.8%
SF	8.5%	8.7%	8.4%	8.7%	8.9%	8.7%	8.5%	8.1%	8.1%	7.3%	7.7%	7.7%	7.9%
ASP (Rmb/parcel)													
Yunda	1.92	1.91	1.91	1.92	2.02	2.11	2.16	2.15	2.19	2.14	2.11	2.06	2.11
YTO	2.12	2.10	2.08	2.15	2.21	2.23	2.24	2.25	2.31	2.14	2.23	2.04	2.06
STO	1.95	1.99	1.97	2.06	2.12	2.18	2.41	2.33	2.38	2.24	2.26	2.14	2.11
SF	13.12	13.67	13.55	13.27	13.87	13.18	13.47	13.81	14.98	14.40	14.20	13.75	14.41

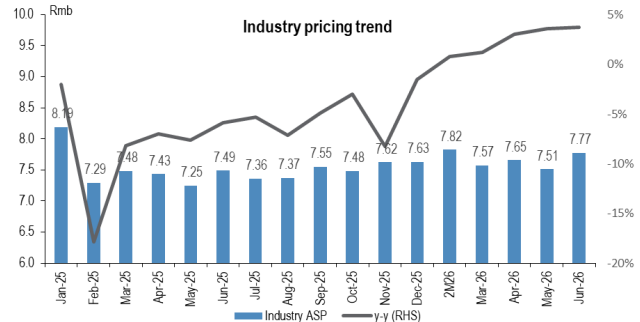
Source: State Post Bureau, company data.

Figure 3: China express monthly industry volume (daily)



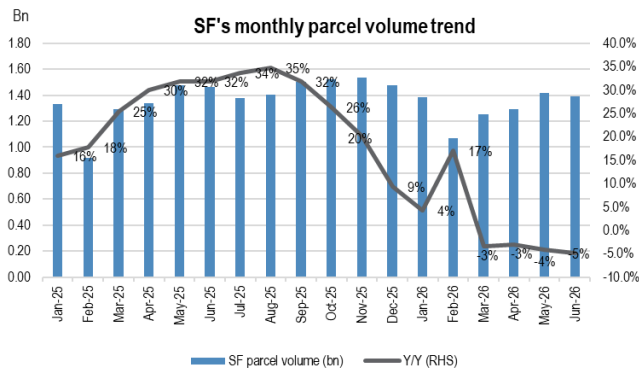
Source: SPB

Figure 4: China express monthly industry ASP



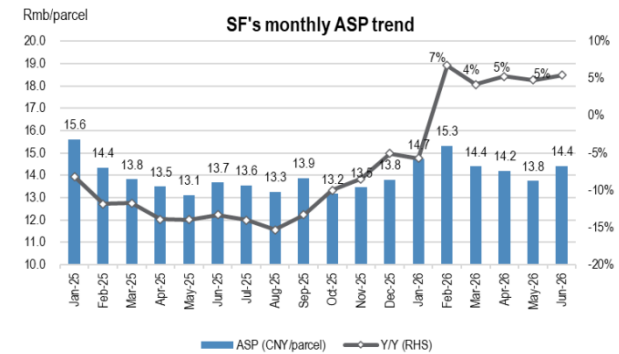
Source: SPB

Figure 5: SF's monthly volume trend



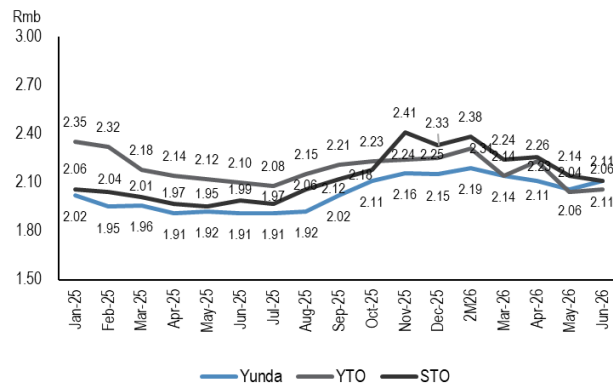
Source: Company data.

Figure 6: SF's monthly ASP trend



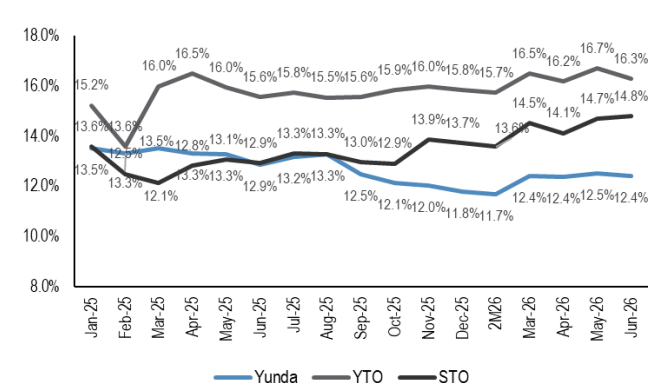
Source: Company data.

Figure 7: Monthly ASP trend of Tongda players



Source: Company data.

Figure 8: Monthly volume share trend of Tongda players



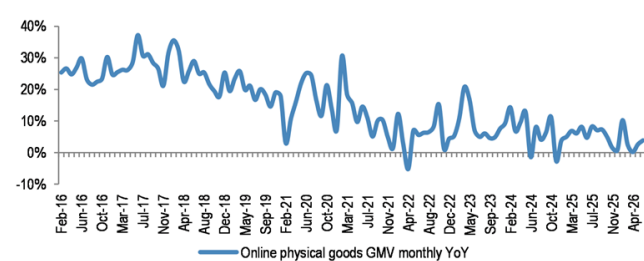
Source: SPB, Company data.

Figure 9: Online retail sales monthly YoY growth



Source: National Bureau of Statistics of China (Article title: China total retail sales grew 1.3% YoY in 1H26, Jul 15, 2026), J.P. Morgan.

Figure 10: Online physical goods sales monthly YoY growth



Source: National Bureau of Statistics of China (Article title: China total retail sales grew 1.3% YoY in 1H26, Jul 15, 2026), J.P. Morgan.

Overweight

2618.HK, 2618 HK

Price (21 Jul 26): HK\$13.88

▼ **Price Target (Jun-27): HK\$17.00**
Prior (Jun-27): HK\$20.00

China

Infrastructure, Industrials & Transport

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J.P. Morgan Broking (Hong Kong) Limited

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	7	10	17	66	100
Growth	5	10	15	39	71
Momentum	19	80	19	76	
Quality	31	42	49	91	94
Low Vol	62	71	77	84	27

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

JD Logistics

Model update

- **JD Logistics is on track for another strong quarter, with robust revenue growth and internal ISC business driving operating profit, though non-IFRS net profit may be held back by one-offs.** We expect JDL's 2Q26 revenue to rise 20–25% Y/Y to Rmb62–64B, reflecting continued strength in core logistics and better-than-expected performance from its internal ISC business. Operating profit is set to grow at a double-digit Y/Y rate, but non-IFRS net profit is likely to be flattish Y/Y, as positive operating trends are offset by one-off items including interest income, government subsidies, and FX loss. This quarter should further cement JDL's reputation for top-line resilience, even as bottom-line growth is temporarily capped by non-operational factors.
- **Model update.** We fine-tune our model to reflect latest industry trend. Our FY26-28 revenue forecasts remain unchanged while we cut net profit forecasts by 4% on average. Our Jun-27 PT goes to HK\$17.0.

Price Performance



Company Data

Shares O/S (mn)	6,677
52-week range (HK\$)	16.76-10.20
Market cap (\$ mn)	11,820
Exchange rate	7.84
Free float (%)	31.9%
3M ADV (mn)	10.78
3M ADV (\$ mn)	18.7
Volatility (90 Day)	38
Index	HSCI
BBG ANR (Buy Hold Sell)	23 0 0

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	217,147	264,555	293,842	322,125
Adj. EBITDA	20,603	24,772	27,164	29,343
Adj. EBIT	7,632	10,564	11,604	12,594
Adj. net income	7,467	9,606	11,020	12,259
Adj. EPS	1.19	1.50	1.72	1.91
BBG EPS	1.12	1.44	1.61	1.80
Cashflow from operations	18,765	28,976	26,013	28,542
FCFF	11,887	20,246	16,316	17,912
Margins and Growth				
Revenue Growth Y/Y (%)	18.8%	21.8%	11.1%	9.6%
EBITDA margin	9.5%	9.4%	9.2%	9.1%
EBITDA Growth Y/Y (%)	1.3%	20.2%	9.7%	8.0%
EBIT margin	3.5%	4.0%	3.9%	3.9%
Net margin	3.4%	3.6%	3.8%	3.8%
Adj. EPS growth	5.3%	26.0%	14.7%	11.2%
Ratios				
Adj. tax rate	6.0%	10.0%	10.0%	10.0%
Interest cover	NM	117.5	NM	NM
Net debt/Equity	0.1	NM	NM	NM
Net debt/EBITDA	0.2	NM	NM	NM
ROCE	9.2%	11.6%	11.3%	10.9%
ROE	13.6%	16.3%	16.2%	15.6%
Valuation				
FCFF yield	15.8%	26.4%	21.3%	23.3%
Dividend yield	0.0%	0.0%	0.0%	0.0%
EV/EBITDA	4.3	3.2	2.6	2.2
EV/Revenue	0.4	0.3	0.2	0.2
Adj. P/E	10.1	8.0	7.0	6.3

Summary Investment Thesis and Valuation

JDL is undergoing a pivotal turnaround, shifting from disappointing guidance, margin delivery, and capex discipline through end-2025 to a renewed focus on sustainable profitability and sector leadership. Management's 2026 outlook signals a clear inflection, emphasizing disciplined capital allocation, technology-driven efficiency, and a transition from heavy investment to margin recovery. This strategic reset positions JDL to leverage its integrated supply chain and international expansion, unlocking operational leverage and restoring investor confidence. The company's commitment to innovation and profitable growth marks a structural shift, making JDL a compelling turnaround play in China logistics.

Our Jun-27 price target of HK\$17.0 is based on 2027 non-IFRS EPS and a target 2027 P/E of 9x.

Performance Drivers

Market	0%
Region	15%
Macro	12%
Style	11%
Idiosyn.	62%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	-0.19	0.06
Region: China	0.62	0.38
Macro:		
Markit EM Composite PMI SA	0.34	0.25
Generic 1st 'CO' Future	0.06	0.17
JPM Forecast Revision EM	-0.36	-0.09
Quant Styles:		
Quality	0.23	0.17
Momentum	-0.26	-0.14
LowVol	-0.02	-0.08

Investment Thesis, Valuation and Risks

JD Logistics (*Overweight; Price Target: HK\$17.00*)

Investment Thesis

JDL is undergoing a pivotal turnaround, shifting from disappointing guidance, margin delivery, and capex discipline through end-2025 to a renewed focus on sustainable profitability and sector leadership. Management's 2026 outlook signals a clear inflection, emphasizing disciplined capital allocation, technology-driven efficiency, and a transition from heavy investment to margin recovery. This strategic reset positions JDL to leverage its integrated supply chain and international expansion, unlocking operational leverage and restoring investor confidence. The company's commitment to innovation and profitable growth marks a structural shift, making JDL a compelling turnaround play in China logistics.

Valuation

Our Jun-27 price target of HK\$17.0 is based on 2027 non-IFRS EPS and a target 2027 P/E of 9x.

Risks to Rating and Price Target

Downside risks include:

- Weaker-than-expected GMV growth at JD.com would introduce potential downside risks to our earnings forecasts, as JD.com is still the largest single client of JDL.
- A weaker-than-expected macro recovery would put pressure on JDL's external ISC business.

JD Logistics: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	182,838	217,147	264,555	293,842	322,125	Cash flow from operating activities	20,791	18,765	28,976	26,013	28,542
COGS	(164,139)	(197,379)	(239,329)	(265,864)	(291,782)	o/w Depreciation & amortization	12,657	12,971	14,207	15,560	16,749
Gross profit	18,698	19,768	25,225	27,978	30,343	o/w Changes in working capital	90	(1,772)	5,471	(256)	(199)
SG&A	(9,022)	(10,257)	(11,438)	(12,704)	(13,605)	Cash flow from investing activities	(840)	(11,493)	(8,634)	(8,390)	(11,373)
Adj. EBITDA	20,343	20,603	24,772	27,164	29,343	o/w Capital expenditure	(5,177)	(6,878)	(8,730)	(9,697)	(10,630)
D&A	(12,657)	(12,971)	(14,207)	(15,560)	(16,749)	as % of sales	2.8%	3.2%	3.3%	3.3%	3.3%
Adj. EBIT	7,686	7,632	10,564	11,604	12,594	Cash flow from financing activities	(11,488)	(14,765)	(8,495)	(8,453)	(8,657)
Net Interest	432	210	(211)	342	756	o/w Dividends paid	-	-	-	-	-
Adj. PBT	7,716	7,332	9,802	11,312	12,680	o/w Shares issued/(repurchased)	0	0	0	0	0
Tax	(628)	(442)	(980)	(1,131)	(1,268)	o/w Net debt issued/(repaid)	(2,354)	(2,820)	(1,060)	(399)	(150)
Minority Interest	(890)	(243)	(268)	(294)	(324)	Net change in cash	8,605	(7,694)	11,847	9,170	8,512
Adj. Net Income	7,027	7,467	9,606	11,020	12,259	Adj. Free cash flow to firm	15,613	11,887	20,246	16,316	17,912
Reported EPS	1.00	1.06	1.34	1.54	1.73	y/y Growth	41.5%	(23.9%)	70.3%	(19.4%)	9.8%
Adj. EPS	1.13	1.19	1.50	1.72	1.91						
DPS	0.00	0.00	0.00	0.00	0.00						
Payout ratio	0.0%	0.0%	0.0%	0.0%	0.0%						
Shares outstanding	6,219	6,274	6,404	6,404	6,404						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	25,812	18,118	29,965	39,135	47,646	Gross margin	10.2%	9.1%	9.5%	9.5%	9.4%
Accounts receivable	15,745	19,849	18,519	20,569	22,549	EBITDA margin	11.1%	9.5%	9.4%	9.2%	9.1%
Inventories	646	887	1,075	1,195	1,311	EBIT margin	4.2%	3.5%	4.0%	3.9%	3.9%
Other current assets	25,538	19,889	21,547	22,234	24,896	Net profit margin	3.8%	3.4%	3.6%	3.8%	3.8%
Current assets	67,740	58,743	71,106	83,132	96,402	ROE	13.6%	13.6%	16.3%	16.2%	15.6%
PP&E	16,002	17,937	21,315	24,732	28,151	ROA	6.1%	6.2%	7.2%	7.3%	7.3%
LT investments	-	-	-	-	-	ROCE	9.2%	9.2%	11.6%	11.3%	10.9%
Other non current assets	34,126	47,920	49,922	51,032	51,870	SG&A/Sales	4.9%	4.7%	4.3%	4.3%	4.2%
Total assets	117,868	124,600	142,342	158,896	176,423	Net debt/Equity	NM	0.1	NM	NM	NM
Short term borrowings	4,468	541	411	362	344	Net debt/EBITDA	NM	0.2	NM	NM	NM
Payables	8,568	10,663	12,930	14,363	15,764	Sales/Assets (x)	1.6	1.8	2.0	2.0	1.9
Other short term liabilities	26,676	33,164	39,033	42,839	46,388	Assets/Equity (x)	2.2	2.2	2.3	2.2	2.1
Current liabilities	39,712	44,369	52,374	57,565	62,495	Interest cover (x)	NM	NM	117.5	NM	NM
Long-term debt	2,760	3,867	2,937	2,587	2,455	Operating leverage	2437.1%	(3.8%)	176.0%	88.9%	88.6%
Other long term liabilities	12,429	16,579	18,426	19,958	21,273	Tax rate	8.1%	6.0%	10.0%	10.0%	10.0%
Total liabilities	54,901	64,815	73,736	80,110	86,224	Revenue y/y Growth	9.7%	18.8%	21.8%	11.1%	9.6%
Shareholders' equity	55,320	54,680	63,234	73,120	84,208	EBITDA y/y Growth	39.3%	1.3%	20.2%	9.7%	8.0%
Minority interests	7,647	5,104	5,372	5,667	5,990	EPS y/y Growth	215.8%	5.3%	26.0%	14.7%	11.2%
Total liabilities & equity	117,868	124,600	142,342	158,896	176,423						
BVPS	8.72	8.54	9.87	11.42	13.15	Valuation					
y/y Growth	13.7%	(2.1%)	15.6%	15.6%	15.2%		FY24A	FY25A	FY26E	FY27E	FY28E
Net debt/(cash)	(2,642)	4,329	(6,264)	(14,138)	(21,558)	P/E (x)	10.6	10.1	8.0	7.0	6.3
						P/BV (x)	1.4	1.4	1.2	1.0	0.9
						EV/EBITDA (x)	4.2	4.3	3.2	2.6	2.2
						Dividend Yield	0.0%	0.0%	0.0%	0.0%	0.0%

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Overweight

YMM, YMM US

Price (20 Jul 26): \$9.25

▲ **Price Target (Jun-27): \$11.00**
Prior (Jun-27): \$10.00

China

Infrastructure, Industrials & Transport

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J.P. Morgan Broking (Hong Kong) Limited

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	26	27	37	40	100
Growth	11	9	4	60	99
Momentum	41	85	29	64	
Quality	34	26	30	78	99
Low Vol	65	73	66	99	100

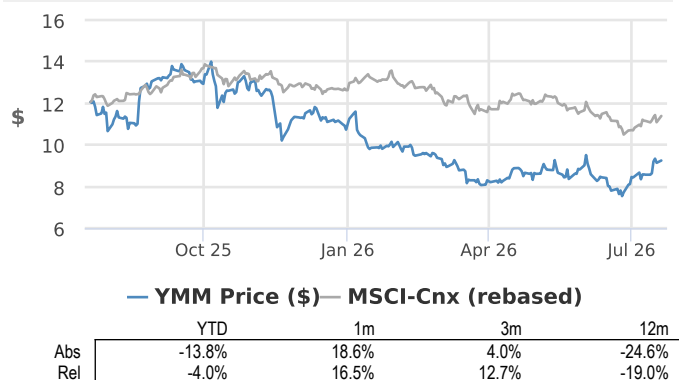
Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Full Truck Alliance

Model update

- **YMM's 2Q26 order growth remains solid, but headline revenue is set to decline as business restructuring weighs, while commission income stands out as a bright spot.** We expect YMM's 2Q26 fulfilled orders to grow 11–14% Y/Y to 67.5–69.3MM, a robust pace supported by easing oil prices but partially offset by extreme weather in some regions. Headline revenue is likely to decline c.4% Y/Y to Rmb3.1B, reflecting the impact of business restructuring in freight brokerage and credit solutions. However, transaction commission revenue is poised to deliver c.33% Y/Y growth, highlighting the underlying strength of the platform model. For the bottom line, we expect YMM's 2Q non-GAAP net profit to remain flat at Rmb1.3B, as solid commission growth is offset by restructuring headwinds.
- **Raising PT.** Our forecasts for YMM remain unchanged, while we raise our PT on improved peer comps (internet players now trade at 15x FY26E P/E). Our Jun-27 PT goes to US\$11.0.

Price Performance



Company Data

Shares O/S (mn)	1,045
52-week range (\$)	14.07-7.45
Market cap (\$ mn)	9,668
Exchange rate	1.00
Free float (%)	-
3M ADV (mn)	8.71
3M ADV (\$ mn)	75.3
Volatility (90 Day)	40
Index	MXCNX
BBG ANR (Buy Hold Sell)	19 2 0

Key Metrics (FYE Dec)

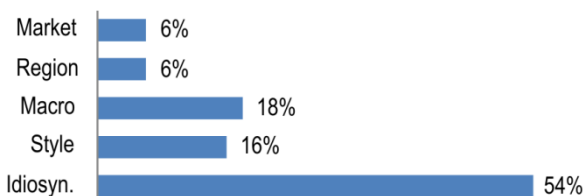
Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	12,490	11,640	13,134	15,362
Adj. EBITDA	4,638	5,289	6,032	7,372
Adj. EBIT	4,500	5,225	5,987	7,348
Adj. net income	4,744	5,243	6,098	7,516
Adj. EPS	4.54	5.02	5.83	7.19
BBG EPS	4.52	4.87	5.79	7.05
Cashflow from operations	4,627	4,854	6,118	7,605
FCFF	4,497	4,733	5,982	7,446
Margins and Growth				
Revenue Growth Y/Y (%)	11.1%	(6.8%)	12.8%	17.0%
EBITDA margin	37.1%	45.4%	45.9%	48.0%
EBITDA Growth Y/Y (%)	64.2%	14.0%	14.1%	22.2%
EBIT margin	36.0%	44.9%	45.6%	47.8%
Net margin	38.0%	45.0%	46.4%	48.9%
Adj. EPS growth	19.6%	10.5%	16.3%	23.3%
Ratios				
Adj. tax rate	16.2%	15.3%	15.5%	15.6%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	14.3%	15.3%	18.5%	22.8%
ROE	12.0%	12.1%	12.5%	13.5%
Valuation				
FCFF yield	6.9%	7.2%	9.1%	11.4%
Dividend yield	2.2%	2.4%	2.8%	3.4%
EV/EBITDA	9.6	8.9	8.0	6.5
EV/Revenue	3.6	4.0	3.7	3.1
Adj. P/E	13.8	12.5	10.7	8.7

Summary Investment Thesis and Valuation

Full Truck Alliance (YMM US) is the largest digital platform in China's inter-city road freight transportation market. The sharp de-rating has priced in most of the key negatives and reset expectations to a low bar. Investor sentiment has been dominated by de-risking around platform clean-up after-effects, VAT/invoicing and credit solutions, and macro volatility. Oil and freight-rate dynamics look more normalized, base effects are easing into 3Q/4Q, and the growth algorithm continues to center on penetration-led share gains rather than freight-cycle beta. We have an Overweight rating on the shares.

Our Jun-27 PT of US\$11.0 is based on YMM's non-GAAP EPS, and a target P/E of 15x.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.44	0.33
Region: China	0.50	0.31
Macro:		
JPM Global Equity Sentiment	0.24	0.24
JP Morgan EMBI Global Spread	-0.34	-0.23
JPM Forecast Revision EM	-0.45	-0.18
Quant Styles:		
Quality	0.18	0.16
Momentum	-0.18	-0.15
Growth	0.02	0.14

Investment Thesis, Valuation and Risks

Full Truck Alliance (*Overweight; Price Target: \$11.00*)

Investment Thesis

Full Truck Alliance (YMM US) is the largest digital platform in China's inter-city road freight transportation market. The sharp de-rating has priced in most of the key negatives and reset expectations to a low bar. Investor sentiment has been dominated by de-risking around platform clean-up aftereffects, VAT/invoicing and credit solutions, and macro volatility. Oil and freight-rate dynamics look more normalized, base effects are easing into 3Q/4Q, and the growth algorithm continues to center on penetration-led share gains rather than freight-cycle beta. Overweight.

Valuation

Our Jun-27 PT of US\$11.0 is based on YMM's non-GAAP EPS, and a target P/E of 15x.

Risks to Rating and Price Target

Downside risks to our rating and price target include: 1) macroeconomic weakness – a downturn in the broader economy could adversely affect order demand and pricing, resulting in weaker monetization and revenue growth for FTA; **2) regulatory changes** – unanticipated regulatory shifts in China's road freight industry could disrupt FTA's business model and hinder the execution of its monetization strategies, potentially impacting financial performance; **3) competitive pressures** – aggressive competition from other digital freight platforms could challenge FTA's market share and exert pressure on margins, affecting the company's ability to maintain its leadership position and profitability; and **4) the delisting of Chinese US ADRs.**

Full Truck Alliance: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	11,239	12,490	11,640	13,134	15,362	Cash flow from operating activities	2,970	4,627	4,854	6,118	7,605
COGS	(5,101)	(4,619)	(3,235)	(3,321)	(3,663)	o/w Depreciation & amortization	78	100	163	158	156
Gross profit	6,138	7,871	8,406	9,812	11,699	o/w Changes in working capital	(1,422)	(590)	(704)	(288)	(213)
SG&A	(2,511)	(2,458)	(2,349)	(2,887)	(3,408)	Cash flow from investing activities	(2,420)	(2,717)	(7,101)	(7,116)	(7,139)
Adj. EBITDA	2,824	4,638	5,289	6,032	7,372	o/w Capital expenditure	(75)	(130)	(121)	(136)	(160)
D&A	(77)	(99)	(163)	(158)	(156)	as % of sales	0.7%	1.0%	1.0%	1.0%	1.0%
Adj. EBIT	3,032	4,500	5,225	5,987	7,348	Cash flow from financing activities	(1,520)	(1,656)	(290)	(290)	(290)
Net Interest	1,073	954	971	1,223	1,543	o/w Dividends paid	-	-	-	-	-
Adj. PBT	3,920	5,742	6,396	7,411	9,095	o/w Shares issued/(repurchased)	(470)	(158)	(158)	(158)	(158)
Tax	(239)	(929)	(981)	(1,146)	(1,419)	o/w Net debt issued/(repaid)	0	0	0	0	0
Minority Interest	(54)	(51)	0	0	0	Net change in cash	(946)	216	(2,575)	(1,326)	138
Adj. Net Income	3,967	4,744	5,243	6,098	7,516	Adj. Free cash flow to firm	2,895	4,497	4,733	5,982	7,446
Reported EPS	2.94	4.22	4.82	5.63	6.97	y/y Growth	33.5%	55.3%	5.2%	26.4%	24.5%
Adj. EPS	3.80	4.54	5.02	5.83	7.19						
DPS	1.40	1.40	1.48	1.73	2.15						
Payout ratio	47.6%	33.1%	30.8%	30.8%	30.8%						
Shares outstanding	1,045	1,045	1,045	1,045	1,045						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	5,911	6,136	3,562	2,236	2,374	Gross margin	54.6%	63.0%	72.2%	74.7%	76.2%
Accounts receivable	20	75	70	79	92	EBITDA margin	25.1%	37.1%	45.4%	45.9%	48.0%
Inventories	-	-	-	-	-	EBIT margin	27.0%	36.0%	44.9%	45.6%	47.8%
Other current assets	21,325	16,840	23,756	30,848	37,995	Net profit margin	35.3%	38.0%	45.0%	46.4%	48.9%
Current assets	27,256	23,052	27,388	33,163	40,462	ROE	10.7%	12.0%	12.1%	12.5%	13.5%
PP&E	290	457	440	424	412	ROA	9.8%	11.1%	11.2%	11.7%	12.7%
LT investments	-	-	-	-	-	ROCE	12.0%	14.3%	15.3%	18.5%	22.8%
Other non current assets	13,741	20,813	21,184	21,579	22,001	SG&A/Sales	22.3%	19.7%	20.2%	22.0%	22.2%
Total assets	41,287	44,322	49,012	55,166	62,875	Net debt/Equity	NM	NM	NM	NM	NM
Short term borrowings	0	0	0	0	0	Net debt/EBITDA	NM	NM	NM	NM	NM
Payables	31	38	26	27	30	Sales/Assets (x)	0.3	0.3	0.2	0.3	0.3
Other short term liabilities	2,989	2,813	2,374	2,531	2,820	Assets/Equity (x)	1.1	1.1	1.1	1.1	1.1
Current liabilities	3,020	2,851	2,401	2,558	2,849	Interest cover (x)	NM	NM	NM	NM	NM
Long-term debt	-	-	-	-	-	Operating leverage	276.6%	434.7%	(237.0%)	113.7%	133.9%
Other long term liabilities	132	199	199	199	199	Tax rate	6.1%	16.2%	15.3%	15.5%	15.6%
Total liabilities	3,152	3,050	2,600	2,757	3,049	Revenue y/y Growth	33.2%	11.1%	(6.8%)	12.8%	17.0%
Shareholders' equity	38,120	40,799	45,939	51,936	59,354	EBITDA y/y Growth	122.9%	64.2%	14.0%	14.1%	22.2%
Minority interests	15	473	473	473	473	EPS y/y Growth	44.3%	19.6%	10.5%	16.3%	23.3%
Total liabilities & equity	41,287	44,322	49,012	55,166	62,875						
BVPS	36.47	39.04	43.96	49.69	56.79						
y/y Growth	7.6%	7.0%	12.6%	13.1%	14.3%						
Net debt/(cash)	(20,914)	(17,185)	(21,590)	(27,244)	(34,361)						
Valuation							FY24A	FY25A	FY26E	FY27E	FY28E
						P/E (x)	16.5	13.8	12.5	10.7	8.7
						P/BV (x)	1.7	1.6	1.4	1.3	1.1
						EV/EBITDA (x)	17.6	9.6	8.9	8.0	6.5
						Dividend Yield	2.2%	2.2%	2.4%	2.8%	3.4%

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Other Companies Discussed in This Report (all prices in this report as of market close on 21 July 2026, unless otherwise indicated)

J&T Express - H(1519.HK/HK\$9.53/OW), S.F. Holding - H(6936.HK/HK\$32.90/OW), ZTO Express - H(2057.HK/HK\$189.80/OW)

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JD Logistics (2618.HK, 2618 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
16-Nov-23	OW	9.91	16
08-Mar-24	OW	8.11	17
18-May-24	OW	10.22	19
18-Aug-24	OW	9.49	20
06-Jan-25	OW	12.86	17
29-Apr-25	OW	11.90	16
23-Oct-25	OW	12.42	15
27-Apr-26	OW	15.14	20

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 07, 2021. All share prices are as of market close on the previous business day.

Full Truck Alliance (YMM, YMM US) Price Chart



Date	Rating	Price (\$)	Price Target (\$)
06-Dec-23	OW	7.05	10
23-May-24	OW	9.23	12
11-Dec-24	N	11.92	13
06-Mar-25	OW	13.26	18
14-Apr-25	N	9.67	10
08-Sep-25	N	13.25	11
12-Jan-26	UW	10.47	8
01-Apr-26	N	8.30	8
16-Jun-26	N	8.41	8.6
29-Jun-26	OW	7.72	10

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Dec 06, 2023. All share prices are as of market close on the previous business day.

S.F. Holding - H (6936.HK, 6936 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
06-Jan-25	OW	34.45	46
23-Oct-25	OW	37.38	48
15-Jan-26	OW	35.36	47
29-Apr-26	OW	35.96	40

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jan 06, 2025. All share prices are as of market close on the previous business day.

ZTO Express - H (2057.HK, 2057 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
30-Oct-24	OW	185.40	234
18-Dec-24	OW	153.40	195
20-Mar-25	N	172.20	179
29-May-25	OW	134.50	164
21-Aug-25	OW	154.70	179
08-Oct-25	OW	148.00	187
24-Nov-25	OW	148.80	197
12-Apr-26	OW	193.60	225

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Oct 29, 2024. All share prices are as of market close on the previous business day.

J&T Express - H (1519.HK, 1519 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
08-Jul-26	OW	9.47	13

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jul 07, 2026. All share prices are as of market close on the previous business day.

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